

ROOM TO GROW



**OF THE 250
NEW HOTELS
SIGNED ON IN
2022, 200 ARE
IN TIER II AND
TIER III CITIES**



**NEW HOTELS ARE
COMING UP IN
SMALLER CITIES LIKE
HUBLI, JABALPUR,
BHARUCH, BAN-
SWARA, CHIRANG
AND CHANDAUSI**



**WHILE THESE
CITIES DON'T
HAVE LARGE COR-
PORATE HOUSES,
THERE IS A GROW-
ING SME AND
MSME SECTOR**



**SOCIAL ASPIRA-
TIONS, WEDDINGS,
ETC., ARE ALSO
FUELLING DEMAND
FOR BRANDED
HOTELS IN SMALL
TOWNS**

PHOTO BY **HARDIK CHHABRA**

the network effect. “The minute I open a hotel in a city, people in that city learn about Lemon Tree as a company and as a brand. As a result, the business that starts coming to my other hotels from that city is phenomenal.”

Such word-of-mouth, free marketing is needed in bagfuls as India’s hospitality industry goes all guns blazing to capture the hinterlands. Consider this: in calendar year 2022, a total of 250 new properties were signed on as hotels under management, of which 200 are in Tier II and III cities. “Of the 20,000 new keys under management, nearly 17,000 keys are in Tier II and III cities,” says Harmeet

Bedi, Senior Director, Hotels and Hospitality Group, India, JLL, a real estate consultancy.

SMALL IS IN

So, right, there’s demand for hotels in small towns. But what’s spurring the demand? These may not have large corporate offices, but they do have a “huge SME and MSME base”, explains Singh, adding that there is also demand to host weddings and small conferences. “Most of these towns are trading towns, so you have people coming in for a couple of nights,” he says.

This demand has not escaped the notice of IHCL, India’s largest hospitality company by market

capitalisation, which is a part of the salt-to-software Tata group. “With a strong pipeline of 70 hotels, we will enter new destinations and scale our brands,” says Suma Venkatesh, Executive Vice President-Real Estate & Development at IHCL, which had a market capitalisation of ₹45,133.22 crore as of March 21, 2023. The chain has planned Taj hotels in cities like Patna, Raipur and Gandhinagar; IHCL SeleQtions for cities such as Bhubaneswar, Rajkot and Munnar; Vivanta hotels in places such as Haridwar, Tawang and Manipal; and Ginger Hotels in cities like Srinagar, Coimbatore and Agra.

Meanwhile, Bengaluru-headquartered Royal Orchid & Regenta Hotels plans to expand to 100 hotels over the next year from the current 82—and it has Tier II and IV locations on its radar. The hotel chain, which says it is likely to post a turnover of ₹300 crore in FY23, is looking at places such as Phagwara, Gulbarga and Ambala. Chairman & MD Chander K. Baljee says that 26 million Indians used to travel abroad for holidays, but that has been hit due to factors like visa delays, high cost of air travel and rising cost of accommodation abroad. “[Now,] they are looking at exploring the country and looking for newer destinations,” he says. The chain recently opened a hotel in Dharamsala, with another one planned in McLeodganj. Also on the cards is a resort in Maharashtra’s Guhagar—known for its beaches and Alphonso mangoes—and another in the coastal town of Digha in West Bengal. A quick check on hotel booking website Booking.com reveals that there are nine properties in Guhagar, but none are branded. Similarly, Digha has over 60 properties but hotel chains seem to be absent. Both are